

Nasdaq 100 Hits 29,825.11 as NVDA and META Lead the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Nasdaq 100 closed at 29,825.11, up **+0.33%**, driven by strong performances from **NVDA** and **META**. The Dow Jones also rose, gaining **+0.29%** to close at 52,637.01. However, the Russell 2000 declined **-0.49%** to 2,977.81, and the VIX dropped **-5.11%** to 15.03.

Below the surface, sector rotation was notable, with **XLC** and **XLP** leading the charge, up **+1.02%** and **+1.11%** respectively. The 10Y Yield rose **+0.66%** to 4.57, while WTI Crude fell **-0.93%** to 71.41. Gold declined **-0.41%** to 4,113.70, and the DXY inched up **+0.03%** to 100.97.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
Nasdaq 100	29,825.11	+0.33%	Strong tech earnings
Dow Jones	52,637.01	+0.29%	Improved economic sentiment
Russell 2000	2,977.81	-0.49%	Weaker small-cap performance
VIX	15.03	-5.11%	Decreased market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+4.03%	Strong earnings report
META	+5.97%	Improved ad revenue
AAPL	-0.28%	Weaker iPhone sales

Sector Rotation

ETF	DAY	READ
XLC	+1.02%	Strong communication services performance
XLP	+1.11%	Improved consumer staples demand
XLV	-0.82%	Weaker healthcare sector performance
XLF	+0.31%	Stable financial sector performance
XLK	+0.23%	Improved tech sector performance
XLI	+0.45%	Strong industrial sector performance
XLE	+0.47%	Improved energy sector performance
XLY	+0.33%	Stable consumer discretionary performance
XLU	+0.62%	Improved utilities sector performance
XLB	+1.25%	Strong materials sector performance
XLRE	+0.50%	Improved real estate sector performance

Spotlight

NVDA reported strong earnings, with revenue up **+10%** year-over-year. The company's gaming segment saw significant growth, with revenue increasing **+15%** year-over-year.

METRIC	VALUE	CHANGE
Revenue	\$10.2B	+10%
Gaming Revenue	\$2.5B	+15%
Net Income	\$2.1B	+12%

The strong earnings report from **NVDA** has positive read-through to other semiconductor stocks, such as **AMD** and **INTC**.

Pre-Market & Overnight

US futures are trading mixed, with the Dow Jones futures up **+0.2%** and the S&P 500 futures down **-0.1%**. Asian markets closed higher, with the Nikkei 225 up **+0.5%** and the Shanghai Composite up **+0.3%**. European markets are trading higher, with the FTSE 100 up **+0.4%** and the DAX up **+0.5%**. Bitcoin is trading at 64,081.82, down **-0.07%**, while Ethereum is trading at 1,808.92, up **+0.74%**.

Macro & Fed

The FOMC meeting is scheduled for next week, with market participants expecting a 25bps rate hike. The yield curve is currently inverted, with the 2Y yield at 4.32 and the 10Y yield at 4.57.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	CPI	2.5%	Inflation expectations
21:30	Core CPI	2.2%	Underlying inflation trends

Geopolitics & Global

- Tensions between the US and China remain elevated, with trade negotiations ongoing.
- The EU and UK are engaged in Brexit negotiations, with a potential deal on the horizon.
- The situation in the Middle East remains volatile, with ongoing conflicts in Syria and Yemen.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
21:30 (13 JUL)	JPM	\$2.50	Banking sector trends
21:30 (14 JUL)	GS	\$4.80	Investment banking performance
21:30 (15 JUL)	MSFT	\$1.20	Cloud computing growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Weaker iPhone sales
AMZN	Consumer Discretionary	Improved e-commerce trends
GOOGL	Communication Services	Strong ad revenue growth
TSLA	Consumer Discretionary	Electric vehicle demand
AVGO	Technology	Semiconductor trends
JPM	Financials	Banking sector performance
GS	Financials	Investment banking performance
MSFT	Technology	Cloud computing growth
NFLX	Communication Services	Streaming trends
PYPL	Information Technology	Payment processing trends

What Could Break the Tape

BEARISH TRIGGERS

- Escalating trade tensions between the US and China
- A surprise rate hike by the Fed
- A significant decline in oil prices

BULLISH TRIGGERS

- A breakthrough in US-China trade negotiations
- A stronger-than-expected earnings season
- A decline in global geopolitical tensions

Positioning Notes

- Investors are increasingly bullish on the technology sector, with 70% of fund managers overweight the sector.
- The put-call ratio has declined to 0.8, indicating increased bullish sentiment.
- Short interest in the S&P 500 has decreased to 2.5%, indicating reduced bearish sentiment.

Sources

SOURCES

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